

## Finance Written 2026 Summer without Answer

1. According to the Diamond-Dybvig model
  - A. the cause of bankrun is the irrational behaviour of clients
  - B. clients' liquidity risk is observable
  - C. autarky is always superior
  - D. bankrun is a Nash-equilibrium
  
2. Which banking service is fee-based?
  - A. Mortgage Lending
  - B. Safe Service
  - C. Depositing
  - D. Corporate Lending
  
3. A firm is financed with both debt and equity in a world with corporate taxes and financial distress costs. As the firm continuously increases its debt level, which of the following best describes what happens to the firm's value and WACC?
  - A. Firm value first decreases then increases, and WACC first increases then decreases, because equity holders benefit from the leverage ratchet effect at high debt levels
  - B. Firm value first increases then decreases, and WACC first decreases then increases, because beyond a certain point, the present value of financial distress costs outweighs the tax shield
  - C. Firm value continuously decreases and WACC continuously increases, because financial distress costs always dominate the tax shield
  - D. Firm value continuously increases and WACC continuously decreases, because the tax shield always outweighs the cost of financial distress
  
4. A firm's current capital structure consists of 50% equity and 50% debt. The required rate of return on equity is 10% per annum, and the cost of debt is 3% per annum. Assume a corporate tax rate of 0%. The firm is considering a restructuring that would increase the share of debt in its capital structure to 60%. Using the Modigliani-Miller framework, calculate the new required rate of return on equity after the restructuring.
  - A. 15
  - B. 6.5
  - C. 5
  - D. 11.75

5. Assume annual compounding. The 1-, 2-, and 3-year zero rates are 2%, 4%, and 6%, respectively. What is the 3-year par yield on a bond that pays coupons annually?
- A. 4.86%
  - B. 5.84%
  - C. 6.26%
  - D. 5.24%
6. Assume the risk-free interest rate is 5% per annum with continuous compounding and the dividend yield on a stock index is 2% per annum. The index level is 200. The 6-month market forward price is \$205. Compute the arbitrage profit at maturity.
- A. \$3.46
  - B. \$2.12
  - C. \$1.98
  - D. \$2.34
7. Which statement about Credit Valuation Adjustment (CVA) is correct?
- A. CVA is the expected loss arising from counterparty default risk.
  - B. CVA measures operational risk capital.
  - C. CVA measures the risk of losses due to changes in market interest rates.
  - D. CVA is the probability of default.
8. Which of the following Basel Pillar 1 risk categories typically requires the largest amount of regulatory capital for a commercial bank?
- A. Liquidity risk
  - B. Market risk
  - C. Credit risk
  - D. Operational risk
9. Assume a firm with a D/V of 30% and a perpetuity-like operation has a predicted ROIC of 12% for the next years while WACC stagnates at 11.5%. The current amount of the invested capital is 1000, while the long-term growth rate is 3%. The current intrinsic value of the equity is most near to
- A. 900
  - B. 740
  - C. 700
  - D. 1060
10. Which statement is true?
- A. Synergies originating from cost reductions are less risky than those coming from future sales increases.
  - B. Typically, during an M&A, the sellers get 20-30 per cent of the synergies in the form of a takeover premium.

- C. Paying by shares for an M&A generates the lowest transaction costs.
- D. The optimal M&A strategy involves buying one relatively valuable target each year.
11. Consider a one-period Cox–Ross–Rubinstein (CRR) binomial model with a time step of 6 months. The continuously compounded risk-free interest rate over this half-year period is implicitly reflected in the Arrow–Debreu state prices. The Arrow–Debreu prices for the up and down states are 0.54 and 0.42, respectively. What is the corresponding risk-neutral probability of the up state?
- A. 0.56
- B. 0.60
- C. 0.50
- D. 0.72
12. Company A considers buying firm B. The takeover price is 1500, of which 500 is paid in earlier accumulated non-operational cash. What is the fair exchange rate of A and B shares needed to pay the rest of the takeover price, given that A has 10 million shares and B has 1 million shares? The equity values of A and B today, before the transaction, are 5000 and 1000, respectively, while the total synergy that A expects to realise is 800. There will be no change in debt for any of the firms.
- A. 2.0-2.2 A for 1.00 B
- B. 0.4-0.6 A for 1 B
- C. 0.2-0.4 A for 1.00 B
- D. 1.70-1.9 A for 1.00 B
13. If our FCFE=120,  $D/V=20\%$ ,  $r_D=5\%$  and  $r_E=15\%$ , while next year's expected RONIC is 16%, effective tax is 10%, and growth is 5%, the free cash flow of the firm is nearest to
- A. 80
- B. 140
- C. 100
- D. 120
14. Which of the following statements is true?
- A. Banks' financial planning starts with predicting the growth of certain asset types.
- B. The financial planning for a manufacturing company starts with predicting the change in invested capital needed.
- C. Banks' financial planning starts with predicting interest income and expenses based on expected market trends.
- D. The financial planning for a manufacturing company starts with predicting the needed amount of assets based on historical trends.
15. Which of the following does NOT qualify as an operational risk?  
*Select one:*

- A. Conduct risk.
  - B. Epidemic.
  - C. Increasing the central bank's base interest rate.
  - D. IT breakdown.
16. What are the typical features of project loan financing?  
*Select one:*
- A. Contract based financing
  - B. Long maturities
  - C. Financing is on a non-recourse basis
  - D. The other three answers are all correct.
17. An investor believes a stock price will have a large movement, but he does not know whether it will rise or fall. Which investment strategy do you recommend for him?
- A. Long call position
  - B. Long straddle position
  - C. Long forward position
  - D. Long put position
18. When did the British pound drop from ERM?
- A. 2001
  - B. 1992
  - C. It is still in ERM.
  - D. 1994
19. Which international accounting standard is about the valuation of financial assets?
- A. IFRS12
  - B. IFRS9
  - C. IFRS10
  - D. IFRS11
20. According to the IMF (2004), how are non-performing loans defined?
- A. Loans with overdue interest or principal for 90 days or more.
  - B. Loans with overdue interest or principal for 60 days or more.
  - C. Loans with overdue interest or principal for 30 days or more.
  - D. Loans with overdue interest or principal for 120 days or more.
21. The company's capital structure consists of 70% of equity and the rest is debt. The stock beta is 1.5. The corporate tax rate is 20%. The cost of debt is equal to 8%. In addition, assume that the expected market risk premium is 5% and the risk-free interest rate is 2% per year. Compute the WACC.

- A. 8.57%
- B. 9.05%
- C. 6.95%
- D. 6.47%

22. A two-year project has the following possible outcomes:

- A 90% probability of a \$5 million gain,
- A 9% probability of a \$10 million loss,
- A 1% probability of a \$20 million loss.

Calculate the two-year Expected Shortfall (ES) at the 95% confidence level.

- A. 20 million
- B. 12 million
- C. 10 million
- D. 8 million

23. Which statement is true?

*Select one:*

- A. The terminal value formula for both the economic value added and the residual income method can be interpreted as calculating a non-growing perpetuity.
- B. The asset-based methods show the likely price a third-party buyer may pay for the given firm.
- C. Valuation methods using multiples assume that the firm has the same business risk as its peers.
- D. A firm may have no less value than the total value of its equity.

24. How can you calculate the duration of a zero-coupon bond?

- A. Calculate from the most recent fixed interest rate.
- B. It is equal to the time until the next coupon payment.
- C. It is equal to how much time has passed since the bond was issued.
- D. It is equal to the time until maturity of the bond.

25. You are an owner of a firm. In which firm do you have a limited liability?

*Select one:*

- A. Sole proprietorship
- B. General partnership
- C. Partnership
- D. In none of the other three types of firms.